what he recommends you should own, think twice about placing your own money with the manager.

What Are the Alternatives?

Many funds are “closet” indexers. Can we clone the manager's exposure via relatively low-cost financial engineering? In other words, is my long/short equity manager more than 95 percent correlated with a strategy that simply goes long the Russell 2000 Value Index and short the S&P 500 index? If a cloning technology costs 50 bps and gets 95 percent of the exposure, the manager needs to either: (1) drop his fees; or (2) not get an allocation. So-called *smart beta* products are another area where investors can often reproduce smart beta exposure, but more cheaply, by financial engineering smart beta products into their constituent components.

A: Access

> “The possibility that liquidity might disappear from a market, and so not be available when it is needed, is a big source of risk to an investor.”

—*The Economist*, September 23, 1999[2]

In *The Wizard of Oz*, Dorothy's traveling party sings, “Lions, and tigers, and bears, oh my!” But in the investment management world, it's more like, “Lock-ups, gates, and redemption fees, oh my!” Dorothy and her friends would be justifiably terrified of today's managers and the many access-reducing strategies they employ. If there exists a way for a manager to maintain a positive lock on your capital, you can bet he will be happy to attempt it. Nonetheless, maintaining flexibility and access to one's capital is critical in an uncertain world where unforeseen liquidity needs may occur, opportunities can arise unexpectedly, and managers can go from “hero” to “zero” in the blink of an eye. In some specialized situations, giving up access might make sense, but all too often investors do not fully assess the cost/benefit of access. It should be noted that most mutual funds and ETFs do not have restrictions on capital; however, some do, so keep reading even if you never plan to invest in a hedge fund or private equity.

The empirical evidence on investor access suggests there is a wide range of access provisions in the marketplace.[3] Access rights are especially important in private vehicles, such as real estate funds, hedge funds, or